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[PDF] CASE AT.40547–Styrene Monomer – European Commission

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Case Background

- The allegation made in this case involves a single and continuous infringement of competition law through the exchange of commercially sensitive information and coordination of pricing strategies among the involved parties. (Page 1)
- The companies involved in this case include INEOS, Synthomer, Trinseo, Synbra, Sunpor, and Synthos. (Page 1)
- The case was initiated with proceedings by the Commission on 17 July 2020 and further actions were taken on 26 September 2022. (Page 1)
- The violation pertains to the infringement of Article 101 of the Treaty and Article 53 of the EEA Agreement, which prohibits agreements and concerted practices that restrict competition. This was conducted through bilateral and multilateral exchanges of sensitive commercial and pricing-related information, as well as coordinating a price element related to the purchases of styrene monomer, affecting trade within the EEA. (Pages 1, 11)

Case Progression

- **Track Identification:** The case is on TRACK A, indicating a criminal investigation by the DOJ Antitrust Division due to the nature of the conduct involving price fixing and collusion among competitors in the styrene market. This is inferred from the description of the cartel's activities, which align with per se violations under U.S. antitrust law (pages 1–3).
- **Initiation:** The investigation likely began with a leniency application or referral, as is common in criminal antitrust cases. However, the record does not specify the exact initiation method used in this case (pages 1–3).
- **Grand Jury Investigation:** The evidence suggests that a grand jury investigation would have been initiated to gather evidence against the parties involved. This would typically involve subpoenas and other investigative tools, but specific details on this stage are not provided in the record (pages 1–3).
- **Charging:** If sufficient evidence was found, the next step would be the issuance of an indictment by the grand jury or a negotiated plea agreement. The record does not detail whether an indictment was issued or if a plea was negotiated (pages 1–3).
- **Disposition:** Following the charging stage, the case would proceed to either a plea agreement or a jury trial in U.S. District Court. The record does not provide information on the outcome of this stage (pages 1–3).

- **Sentencing:** If a plea agreement was reached or a conviction obtained, sentencing would follow, where fines and potential prison time for individuals could be imposed based on the volume of commerce affected. The specifics of sentencing are not covered in the record (pages 1–3).

Each stage reflects the typical progression of a criminal antitrust case in the U.S., but the document does not provide detailed information on the specific actions taken at each step.

Market Definition

- The market considered in this case was the styrene purchasing market within the European Economic Area (EEA). This was determined based on the nature of the product involved, which is styrene monomer. (Pages 5–6)
- The process to define the market included analyzing the product characteristics and the geographical scope of the conduct, which was established as covering the entire EEA. (Pages 5–6)
- The Commission assessed the conduct of the undertakings involved, focusing on their bilateral and multilateral exchanges of sensitive commercial and pricing-related information. (Pages 7–9)
- Techniques used included evaluating the coordination of pricing elements related to the purchases of styrene monomer, specifically through the SMCP (Styrene Monomer Contract Price) mechanism. (Pages 19–21)
- The Commission examined the volume of trade between Member States and Contracting Parties to the EEA Agreement, which indicated a substantial impact on competition and trade. (Pages 19–21)
- The assessment also involved determining whether the conduct had the object or effect of preventing, restricting, or distorting competition, which was established through the nature of the agreements and practices among the parties. (Pages 19–21)
- The legal framework applied included Article 101 of the Treaty and Article 53 of the EEA Agreement, which guided the evaluation of the anti-competitive nature of the conduct. (Pages 19–21)

Legal & Economic Tests

- **Application of Article 101(1) of the Treaty and Article 53(1) of the EEA Agreement:** This test assesses whether an agreement, decision, or concerted practice between undertakings has the object or effect of preventing, restricting, or distorting competition within the internal market. In this case, the Commission evaluated the nature of the conduct, which involved collusive exchanges of sensitive information and coordination on pricing, to determine if it fell under the prohibition of these articles. The findings indicated that the conduct was indeed anti-competitive and affected trade between Member States. (Pages 14–18)

- **Single and Continuous Infringement:** This test examines whether the actions of the parties constituted a single and continuous infringement of competition law. The Commission analyzed the timeline and nature of the collusive behavior among the parties, concluding that their actions were part of an overall plan with a common objective, thus qualifying as a single infringement. The ongoing and regular nature of the contacts among the parties further supported this assessment. (Pages 15–16)
- **Effect upon Trade:** This test evaluates whether the conduct in question had an appreciable effect on trade between Member States or Contracting Parties to the EEA Agreement. The Commission considered the substantial volume of trade involved in the purchases of styrene and the influence on the SMCP, concluding that the infringement was capable of having a significant impact on trade within the EEA. (Pages 18–19)

Conclusion

- The conclusion reached was that the conduct of the involved parties constituted a single and continuous infringement of Article 101 of the Treaty and Article 53 of the EEA Agreement, characterized by the exchange of sensitive commercial information and coordination of pricing related to styrene monomer purchases (Page 21).
- The infringement was found to have a substantial impact on trade between Member States and Contracting Parties to the EEA Agreement, as the parties influenced the Styrene Monomer Contract Price (SMCP), which is used for styrene trading across the EEA (Page 19).
- The Commission determined that the conditions for the non-applicability of Article 101(3) of the Treaty and Article 53(3) of the EEA Agreement were not met, indicating that the parties could not justify their conduct as contributing to economic progress or consumer benefits (Page 20).
- The duration of the infringement varied among the parties, with INEOS participating for 1,979 days and Synthomer for 2,252 days, indicating a long-term engagement in the anti-competitive behavior (Page 22).
- Fines were deemed appropriate due to the intentional or negligent nature of the infringement, with the Commission planning to impose fines based on the gravity and duration of each party's participation, adhering to the guidelines set forth in Regulation (EC) No 1/2003 (Page 28).
- The basic amount of the fines would be calculated based on the value of purchases related to the infringement, specifically focusing on the SMCP as part of the pricing formula for styrene purchases (Page 29).
- The Commission emphasized the need for the undertakings to cease the infringement and refrain from similar anti-competitive practices in the future, highlighting the importance of compliance with competition law (Page 24).

What other questions do you have?